CASCADIA ANALYTICS

INVESTMENT SCORECARD

LEU

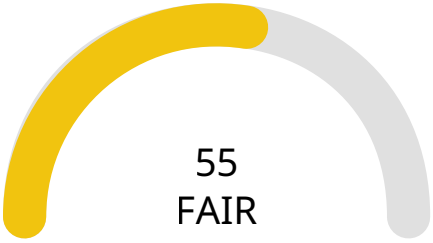
Centrus Energy Corp. (NYSE)

As-of: 23-Oct-2026 | Latest Filing: Q2 2026 (10-Q) | Currency: USD

$103.43 [Mkt 23-Oct-26]

Market Cap: $1.92B [Mkt 23-Oct-26]

Attractiveness Score



Confidence: **Medium** (0 pillars excluded)

Pillar Breakdown

1. Operating Quality — 55

Genuine chokepoint asset: the only NRC-licensed US HALEU producer with a $900M DOE award. But economics are lumpy and thin: quarterly revenue swings 2x between quarters, net margins 10-17%, FCF margins single digits, and heavy capex ahead. Our DCF carries flat EBIT margins of 15% (Bear), 20% (Base) and 25% (Bull), moderated from 31.6%/36.4%/41.7% after the October 2026 forensic audit showed the prior levels above the filed gross margin on the current mix (FY2025 gross margin 26.2%, Q2 2026 28.3%). At the filed operating-expense ratio of about 15% of revenue, the moderated margins imply gross margins of about 30%/35%/40% — inside the filed record in every scenario (FY2023 35.0%, FY2022 peak 40.1%).

2. Recent Trend — 40

Stock down 53% YTD and 70% over 1 year, below the 200-day average (Strong Sell on daily MAs). Q2 beat on revenue and adj EPS but the stock fell on the $500M equity raise. Revenue growth is real but buried under dilution.

3. Forward Growth — 62

$4.5B backlog through 2040, DOE awards, and prepayment-funded HALEU deals give visible demand. But $3.0B of backlog is contingent on the Piketon expansion, and analyst estimates see revenue roughly flat through 2029. Growth is contracted, not yet delivered.

4. Valuation 58

DCF base $78.30 implies 24% downside from $103.43 on the corrected model; the market prices an 11.5% CAGR, just under our 12% base case. But 29x TTM P/E is not cheap for lumpy government-dependent earnings, and dilution risk lingers.

5. Catalysts & Risk 62

Q3 earnings Nov 4 and the year-end Oak Ridge centrifuge milestone are near-term positives. HALEU prepayments fund the build without debt. Offset: dilution overhang from the September raise, DOE funding dependence, and contingent-backlog execution risk. Balanced, slightly positive.

Investment Thesis

- **Only US HALEU Producer:** Centrus runs the only NRC-licensed HALEU production in the US, backed by a $900M DOE award [Q2 PR]. Three of four advanced reactors reaching criticality ran on its fuel [Q2 call]. That is a genuine chokepoint in the SMR supply chain.
- **Contracted Growth:** $4.5B backlog through 2040 with definitive deals from X-energy, Radiant, and Antares Nuclear that include customer prepayments [8-Ks]. Demand is contracted; the job now is building the cascades to deliver it.
- **Priced Above Our Corrected Base:** At $103.43 [Mkt 16-Oct-26], the market implies an 11.5% revenue CAGR, just below our 12% base case [DCF model]. Our corrected base $78.30 implies 24% downside: we moderated the model's flat EBIT margins to the filed gross-margin record and anchored the share count to the September 2026 offering (24.4M diluted, including the pre-funded warrants), with the $490M of net offering proceeds in the cash bridge. The stock is down 53% YTD on dilution fears, not demand loss.

Key Operating Metrics

Metric	Latest	YoY Change	3Y Trend
Revenue (Q2 2026)	$176.1M [Q2 PR]	+14.0% [Q2 PR]	Up
Gross Profit (Q2)	$49.9M [Q2 call]	n/a [n/a]	Up
Net Income (Q2)	$16.8M [Q2 PR]	-41.9% [Q2 PR]	Down

Adj EPS (Q2)	$1.77 [Q2 PR]	-6.8% [Q2 PR]	Down
Backlog (thru 2040)	$4.5B [Q2 PR]	n/a [n/a]	Up
FY2026 Revenue Guide	$450-500M [Q2 PR]	~+5% [Q2 PR]	Flat
FY2026 Capex Guide	$350-500M [Q2 PR]	n/a [n/a]	Up

Historical Financial Trend

Metric	FY22	FY23	FY24	FY25	TTM
Revenue	$293.8M [10-K FY22]	$320.2M [10-K FY23]	$442.0M [10-K FY24]	$448.7M [10-K FY25]	$473.9M [10-Qs]
Net Margin	17.8% [10-K FY22]	26.4% [10-K FY23]	16.6% [10-K FY24]	17.3% [10-K FY25]	10.2% [10-Qs]
Free Cash Flow	$19.9M [10-K FY22]	$7.5M [10-K FY23]	$32.9M [10-K FY24]	$31.3M [10-K FY25]	n/a [n/a]

Valuation

Absolute (5/10)

P/E (TTM) 29.2x [Mkt 16-Oct-26]
DCF Base $78.30 [DCF model]
PEG 2.87 [Mkt 16-Oct-26]

DCF implies 24% downside from $103.43 on the corrected model (margins moderated to the filed record; shares anchored post-offering), and 29x P/E is full for lumpy, government-tied earnings.

Versus Peers (5/8)

Uranium peer multiples not sourced [n/a]

Scored neutral pending peer data.

Versus History (6/7)

52wk high $464.25 [Mkt 16-Oct-26]
YTD -53% [Mkt 16-Oct-26]

Trading far below historical levels; the market prices an 11.5% revenue CAGR, near our 12% base case.

Catalyst Timeline

Nov 4, 2026 [Cons]
Q3 2026 Earnings (Two-Sided): EPS est $0.01, revenue est $65.3M. Quarterly revenue is lumpy; the number to watch is backlog conversion.

End 2026 [Q2 PR]
Oak Ridge Milestone (Positive): First new centrifuge completion at Oak Ridge, TN. De-risks the capacity build-out.

Top Risk Factors (Item 1A)

1. Dilution and Capital Intensity: ~$500M equity and warrant offering in September 2026 diluted holders; FY2026 capex guide of $350-500M and negative model FCF through 2027 mean more funding needs are possible. [8-K Sep 2026]

2. Government Funding Dependence: The HALEU cascade work is government-funded; DOE chose not to extend the existing cascade contract. Awards

> **2027-2030** [8-Ks]
> HALEU Commercial Ramp (Positive): X-energy, Radiant, Antares contracts with customer prepayments start delivering toward 2030.

What Would Change Our Score

Q3 earnings on Nov 4 and the year-end Oak Ridge centrifuge completion are the near-term swing factors. A funded, on-schedule HALEU ramp would push toward the bull case ($126.26); further equity raises or DOE funding cuts would test the bear ($47.11).

and prepayments depend on federal budgets and policy priorities. [Q2 PR]

3. Contingent Backlog: About $3.0B of the $4.5B backlog is contingent LEU and HALEU sales tied to the Piketon expansion ($2.4B definitized). Delays in the build-out push contracted revenue further out. [Q2 call]

4. Lumpy Revenue: Q1 2026 revenue was $76.7M vs Q2 at $176.1M. Shipment timing drives big swings, so any single quarter can miss badly and earnings are hard to model. [10-Q Q2 2026]

Forward Growth Drivers

- $900M DOE HALEU task order signed July 2026, funding 12 MT/year of capacity [Q2 PR]
- Definitive HALEU supply deals with X-energy, Radiant, Antares Nuclear, all with customer prepayments [8-Ks]
- Only NRC-licensed US HALEU producer; 3 of 4 advanced reactors hitting criticality ran on its fuel [Q2 call]
- $4.5B backlog through 2040 ($3.7B LEU, $0.8B Technical Solutions) [Q2 PR]

Missing / Modified Data Log

- TTM gross margin not disclosed at quarterly level; used segment and annual figures.
- 2021 net margin (58.7%) included one-time items; excluded from trend narrative.
- Uranium peer multiples not sourced; peers valuation scored neutral.
- Short interest and options flow not used in scoring.

This scorecard is for educational and informational purposes only. It is not financial, investment, or tax advice, and nothing here is a recommendation to buy or sell any security. It is generated by an AI model and does not consider your individual circumstances. All figures are approximate, may be out of date, and are not guaranteed to be accurate. Verify independently and consult a licensed professional before investing. You are responsible for your own investment decisions.

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